Transatlantica Commodities PTE Ltd v Eurochem Trading GmbH

[2026] EWHC 1494 (Comm); CL-2025-000405

High Court of Justice, Business and Property Courts of England and Wales, King's Bench Division, Commercial Court

Jurisdiction

England and Wales

Area of law

Shipping/Maritime Law; Arbitration; Contract of Affreightment

Legal question

Whether an award of loss of bargain damages on a contract/market basis is the appropriate measure of loss recoverable for delayed delivery of a performing vessel under a contract of affreightment, or for performance of a COA shipment in a manner other than originally declared by the charterer. Specifically, whether the tribunal erred in awarding damages for non-performance of a shipment when a different cargo was subsequently performed under the same contract.

Key facts

Transatlantica Commodities (owners) and Eurochem Trading (charterers) entered into a Contract of Affreightment dated 21 May 2020 for carriage of fertiliser from Sillamae, Estonia to Brazil/North America between 15 May and 15 November 2020, providing for three to four shipments. The first two shipments were performed without dispute. For the third shipment, charterers declared a laycan of 12-15 October 2020 on 25 September 2020. Owners failed to nominate a vessel by the required deadline and instead nominated the Friedrich Schulte on 7 October 2020 with an ETA of 5-10 November 2020, stating they had no ship available for October. Charterers, forced to seek tonnage in the market, chartered the Abtenauer on 9 October 2020 to perform the October shipment at significantly higher rates. Subsequently, on 15 October 2020, charterers made a fourth declaration for November dates, which was eventually performed by the Friedrich Schulte at contract rates after rescheduled dates. The tribunal awarded charterers damages of US$382,410 plus €4,036.80 for the breach relating to the October shipment, which owners appealed on grounds that the cargo was ultimately performed (albeit by different vessel and later dates).

Holding

The Court held that the Tribunal made no error of law and dismissed the appeal. Mr Justice Henshaw clarified that the Tribunal's finding was not that the third shipment was merely delayed performance, but rather that the shipment required by Charterers' 25 September 2020 declaration was simply not performed by Owners. The Friedrich Schulte shipment, although numbered as the third shipment under the COA, constituted performance of a different cargo arising from Charterers' subsequent 15 October 2020 declaration, representing a separate adventure under the COA. Since Owners refused to provide a vessel for the October laycan and the Abtenauer carried the cargo originally intended for that shipment, Owners' primary obligations became unperformable and were replaced by secondary obligations to pay damages. The appropriate measure was therefore the contract/market freight differential (higher Abtenauer rates less lower COA rates) plus storage costs. The Court rejected Owners' argument that Charterers obtained a windfall by receiving benefits of both the Abtenauer shipment and the Friedrich Schulte shipment, finding instead that Charterers were entitled to four declarations under the contract and the Friedrich Schulte represented a lawful fourth shipment, not late performance of the third.

Significance

This decision clarifies important principles in maritime contract law regarding contracts of affreightment. It establishes that each shipment under a COA constitutes a separate, severable adventure, and that breach of one shipment cannot be remedied by later performance of a different cargo at different rates. The judgment confirms that where owners fail to perform an obligation to carry specific cargo at declared dates, rendering that specific adventure unperformable, the appropriate damages measure is the contract/market differential, even if owners subsequently perform a different shipment under the same COA. This protects charterers from being forced to treat non-performance as acceptable simply because some performance eventually occurs.

Precedent impact

The decision reinforces established authority that each shipment under a contract of affreightment is a separate adventure capable of independent breach (citing Classic Maritime v Limbungan and Larrinaga v Société Franco-Americaine des Phosphates). It establishes that performance of a different cargo cannot constitute late performance of an unperformed shipment, and confirms the orthodox measure of damages for shipment non-performance under COAs is the freight differential between market and contract rates.

Full judgment URL

https://www.bailii.org/ew/cases/EWHC/Comm/2026/1494.html